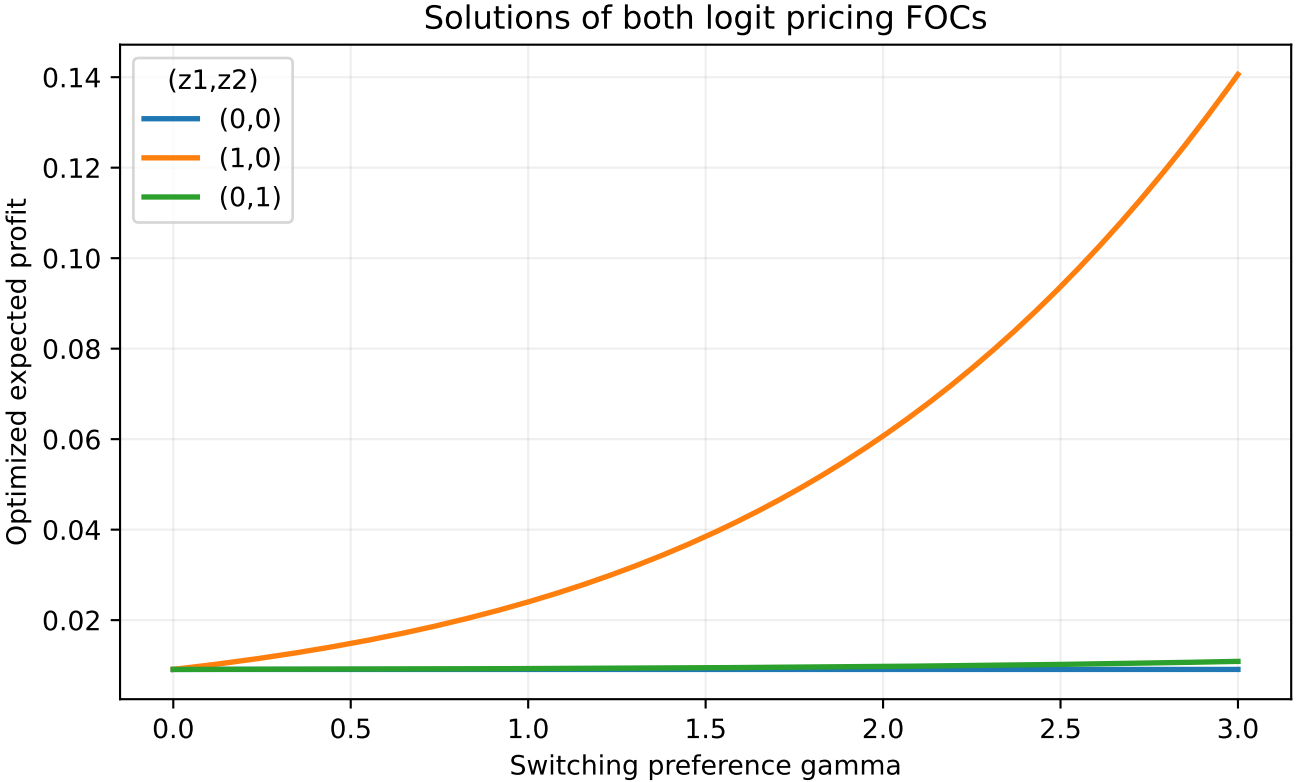
Solutions of both logit pricing FOCs
(z1,z2)
(0,0)
(1,0)
(0,1)
Optimized expected profit
0.14
0.12
0.10
0.08
0.06
0.04
0.02
0.0
0.5
1.0
1.5
2.0
2.5
3.0
Switching preference gamma
alpha=-2, beta=-1, delta=0.7, c=1; shares adjust with prices